

Clark County, Arkansas

Regulatory Basis Financial Statements and Other Reports

December 31, 2007

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
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Sen. Randy Lavery
Senate Co-Chair
Rep. J R Rogers
House Co-Chair
Sen. Bobby L. Glover
Senate Co-Vice Chair
Rep. Johnny Hoyt
House Co-Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2007, as listed in the table of contents. These financial statements are the responsibility of the County's management. Our responsibility is to express opinions on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinions.

As described more fully in Note 1(B and C), the County has prepared these financial statements using accounting practices prescribed or permitted by Arkansas Code, which practices differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

In our opinion, because of the effects of the matter discussed in the preceding paragraph, the financial statements referred to above do not present fairly, in conformity with accounting principles generally accepted in the United States of America, the financial position of Clark County, Arkansas, as of December 31, 2007, or the changes in its financial position or where applicable, its cash flows, thereof for the year then ended. Further, the County has not presented a management's discussion and analysis that accounting principles generally accepted in the United States has determined is necessary to supplement, although not required to be part of, the basic financial statements.

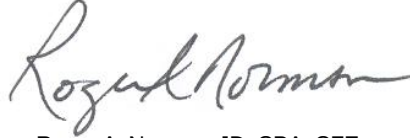
The financial statements referred to above do not disclose all the required information concerning deposit risks, which should be included in order to conform with the regulatory basis of accounting described in Note 1(C).

In our opinion, except for the effects on the financial statements of the omission described in the preceding paragraph, the financial statements referred to above present fairly, in all material respects, the respective regulatory basis financial position of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of December 31, 2007, the respective changes in the regulatory basis financial position, and the budgetary results for the general fund and road fund for the year then ended on the basis of accounting described in Note 1(C).

In accordance with *Government Auditing Standards*, we have also issued our report dated October 23, 2008 on our consideration of the County's internal control over financial reporting and our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements of Clark County, Arkansas. The accompanying financial information listed as supporting schedules in the table of contents is presented for purposes of additional analysis and is not a required part of the financial statements of Clark County, Arkansas. Such information has been subjected to the auditing procedures applied in the audit of the financial statements and, in our opinion, except for the effects on the financial information in Schedules 1 and 2 of the omission described above, such information is fairly stated in all material respects in relation to the financial statements taken as a whole. The supplementary information in the Schedule of Capital Assets listed in the table of contents as Schedule 3 is required by the regulatory basis of presentation and is presented for the purpose of additional analysis. We have not applied auditing procedures to this information and, accordingly, we express no opinion on the Schedule of Capital Assets.

DIVISION OF LEGISLATIVE AUDIT

A handwritten signature in dark ink, appearing to read "Roger A. Norman". The signature is fluid and cursive, with the first name "Roger" being more prominent.

Roger A. Norman, JD, CPA, CFE
Legislative Auditor

Little Rock, Arkansas
October 23, 2008
LOCO01007

Sen. Randy Lavery
Senate Co-Chair
Rep. J R Rogers
House Co-Chair
Sen. Bobby L. Glover
Senate Co-Vice Chair
Rep. Johnny Hoyt
House Co-Vice Chair

Arkansas



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE DIVISION OF LEGISLATIVE AUDIT

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING, COMPLIANCE AND OTHER MATTERS, AND OTHER ISSUES BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2007, and have issued our report thereon dated October 23, 2008. We issued an adverse opinion because the County prepared the financial statements using accounting principles prescribed or permitted by Arkansas Code, which differ from accounting principles generally accepted in the United States of America. The effect on the financial statements of the variances between these regulatory accounting practices and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the basis of accounting described in Note 1(B and C), our opinions on the general fund, road fund, and other funds in the aggregate were qualified because required disclosures were not made concerning deposit risks. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered the County's internal control over financial reporting as a basis of designing our auditing procedures for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the County's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the County's internal control over financial reporting.

Our consideration of internal control was for the limited purpose described in the preceding paragraph and would not necessarily identify all deficiencies in internal control over financial reporting that might be significant deficiencies or material weaknesses. However, as discussed below, we identified a certain deficiency in internal control over financial reporting that we consider to be a significant deficiency.

A control deficiency exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect misstatements on a timely basis. A significant deficiency is a control deficiency, or combination of control deficiencies, that adversely affects the entity's ability to initiate, authorize, record, process, or report financial data reliably in accordance with the regulatory basis of accounting as prescribed or permitted by Arkansas Code such that there is more than a remote likelihood that a misstatement of the County's financial statements that is more than inconsequential will not be prevented or detected by the County's internal control. We consider the following deficiency to be a significant deficiency in internal control over financial reporting:

2007-1 To ensure the proper safeguarding of assets, financial accounting duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions should be distributed among appropriate employees. The County officials, as specified in the Other Issues section of this report, did not segregate these duties to sufficiently reduce the risks of fraud or error and properly safeguard the County's assets, because of limited financial resources. We recommend that the financial accounting duties in each office be segregated among employees to the extent possible.

The County officials, as specified in the Other Issues section of this report, responded and indicated that their offices will segregate the duties relating to initiating, receipting, depositing, disbursing, and recording cash transactions to the extent possible with the current staffing levels.

A material weakness is a significant deficiency, or combination of significant deficiencies, that results in more than a remote likelihood that a material misstatement of the financial statements will not be prevented or detected by the County's internal control.

Our consideration of internal control over financial reporting was for the limited purpose described in the first paragraph of this section and would not necessarily identify all deficiencies in internal control that might be significant deficiencies and, accordingly, would not necessarily disclose all significant deficiencies that are also considered to be material weaknesses. However, of the significant deficiencies described above, we consider item 2007-1 to be a material weakness.

The County's response to the findings identified in our audit is described above. We did not audit the County's response and, accordingly, we express no opinion on it.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the County's financial statements are free of material misstatement, we performed tests of the County's compliance with certain provisions of the state constitution, laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Other Issues

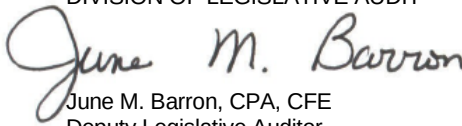
The commentary contained in this section relates to the following officials who held office during 2007:

County Judge: Ron Daniell
Treasurer: Judy Beth Hutcherson
Sheriff and Tax Collector: David Turner
County Clerk: Rhonda Cole
Circuit Clerk: Penny Ross
County Librarian: Judy Golden

Our audit procedures indicated that the offices of the aforementioned officials were in substantial compliance with Arkansas fiscal and financial laws.

This report is intended solely for the information and use of the Legislative Joint Auditing Committee, local County government, state executive and oversight management, the federal awarding agencies and pass-through entities, if applicable, and other parties as required by Arkansas Code, and is not intended to be and should not be used by anyone other than these specified parties. However, pursuant to Arkansas Code Annotated § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

DIVISION OF LEGISLATIVE AUDIT


June M. Barron, CPA, CFE
Deputy Legislative Auditor

Little Rock, Arkansas
October 23, 2008

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2007

Exhibit A

	<u>General</u>	<u>Road</u>	<u>Other Funds In The Aggregate</u>
ASSETS			
Cash and cash equivalents	<u>\$ 1,547,063</u>	<u>\$ 3,104,421</u>	<u>\$ 4,872,958</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Settlements pending			<u>\$ 1,035,874</u>
Fund Balances:			
Reserved	\$ 1,989	\$ 3,104,421	3,837,084
Unreserved:			
Designated	380,662		
Undesignated	<u>1,164,412</u>		
Total Fund Balances	<u>1,547,063</u>	<u>3,104,421</u>	<u>3,837,084</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 1,547,063</u>	<u>\$ 3,104,421</u>	<u>\$ 4,872,958</u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Exhibit B

	General	Road	Other Funds In The Aggregate
RECEIPTS			
State aid	\$ 643,958	\$ 1,037,857	\$ 365,205
Federal aid	25,883	128	170,442
Property taxes	378,424	162,122	522,278
Sales taxes	1,239,166	1,213,351	129,080
Fines, forfeitures and costs	412,020		118,037
Interest	56,572	138,740	155,201
Officers' fees	54,025		152,124
911 Surcharges			126,977
Prisoner care	60,350		
Sanitation fees			510,039
Treasurer's commission	97,587		16,243
Collector's commission	138,391		39,950
Taxes apportioned - Assessor's salary and expense	274,606		
Other	469,833	76,734	174,682
TOTAL RECEIPTS	3,850,815	2,628,932	2,480,258
Less: Treasurer's commission	56,025	51,062	29,667
NET RECEIPTS	3,794,790	2,577,870	2,450,591
DISBURSEMENTS			
Current:			
General government	1,509,066		604,896
Law enforcement	2,135,867		225,585
Highways and streets		2,417,376	
Public safety	75,058		188,305
Sanitation			606,290
Health	63,808		
Recreation and culture	2,929		258,768
Total Current	3,786,728	2,417,376	1,883,844

CLARK COUNTY, ARKANSAS
STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Exhibit B

	<u>General</u>	<u>Road</u>	<u>Other Funds In The Aggregate</u>
DISBURSEMENTS (CONTINUED)			
Debt Service:			
Note principal			\$ 205,000
Note interest and other charges			21,318
Principal reduction on financing agreement			77,028
Interest on financing agreement			1,813
	<u> </u>	<u> </u>	<u> </u>
TOTAL DISBURSEMENTS	<u>\$ 3,786,728</u>	<u>\$ 2,417,376</u>	<u>2,189,003</u>
 EXCESS OF RECEIPTS OVER (UNDER) DISBURSEMENTS	 <u>8,062</u>	 <u>160,494</u>	 <u>261,588</u>
 OTHER FINANCING SOURCES (USES)			
Transfers in	61,154		37,247
Transfers out	<u>(37,247)</u>		<u>(61,154)</u>
TOTAL OTHER FINANCING SOURCES (USES)	<u>23,907</u>		<u>(23,907)</u>
 EXCESS OF RECEIPTS AND OTHER SOURCES OVER (UNDER) DISBURSEMENTS AND OTHER USES	 31,969	 160,494	 237,681
 FUND BALANCES - JANUARY 1	 <u>1,515,094</u>	 <u>2,943,927</u>	 <u>3,599,403</u>
 FUND BALANCES - DECEMBER 31	 <u><u>\$ 1,547,063</u></u>	 <u><u>\$ 3,104,421</u></u>	 <u><u>\$ 3,837,084</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
RECEIPTS						
State aid	\$ 518,000	\$ 643,958	\$ 125,958	\$ 1,082,000	\$ 1,037,857	\$ (44,143)
Federal aid		25,883	25,883		128	128
Property taxes	454,500	378,424	(76,076)	173,000	162,122	(10,878)
Sales taxes	1,300,000	1,239,166	(60,834)	1,300,000	1,213,351	(86,649)
Fines, forfeitures and costs	438,500	412,020	(26,480)			
Interest	40,000	56,572	16,572	67,000	138,740	71,740
Officers' fees	75,000	54,025	(20,975)			
Prisoner care	110,000	60,350	(49,650)			
Treasurer's commission	98,000	97,587	(413)			
Collector's commission	150,000	138,391	(11,609)			
Taxes apportioned - Assessor's salary and expense	400,000	274,606	(125,394)			
Other	411,082	469,833	58,751	69,652	76,734	7,082
TOTAL RECEIPTS	3,995,082	3,850,815	(144,267)	2,691,652	2,628,932	(62,720)
Less: Treasurer's commission		56,025	(56,025)		51,062	(51,062)
NET RECEIPTS	3,995,082	3,794,790	(200,292)	2,691,652	2,577,870	(113,782)
DISBURSEMENTS						
Current:						
General government	1,758,227	1,509,066	249,161			
Law enforcement	2,409,547	2,135,867	273,680			
Highways and streets				2,882,980	2,417,376	465,604
Public safety	50,193	75,058	(24,865)			
Health	68,380	63,808	4,572			
Recreation and culture	5,960	2,929	3,031			
TOTAL DISBURSEMENTS	4,292,307	3,786,728	505,579	2,882,980	2,417,376	465,604
EXCESS OF RECEIPTS OVER (UNDER) DISBURSEMENTS	(297,225)	8,062	305,287	(191,328)	160,494	351,822

CLARK COUNTY, ARKANSAS
STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
OTHER FINANCING SOURCES (USES)						
Transfers in	\$ 160,301	\$ 61,154	\$ (99,147)			
Transfers out	(85,000)	(37,247)	47,753			
TOTAL OTHER FINANCING SOURCES (USES)	75,301	23,907	(51,394)			
EXCESS OF RECEIPTS AND OTHER SOURCES OVER (UNDER) DISBURSEMENTS AND OTHER USES	(221,924)	31,969	253,893	\$ (191,328)	\$ 160,494	\$ 351,822
FUND BALANCES - JANUARY 1	1,000,000	1,515,094	515,094	2,000,000	2,943,927	943,927
FUND BALANCES - DECEMBER 31	<u>\$ 778,076</u>	<u>\$ 1,547,063</u>	<u>\$ 768,987</u>	<u>\$ 1,808,672</u>	<u>\$ 3,104,421</u>	<u>\$ 1,295,749</u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 1: Summary of Significant Accounting Policies

As discussed further in Note 1(B and C), these financial statements are presented in accordance with the regulatory basis of presentation and accounting as prescribed or permitted by Arkansas Code. This regulatory basis of presentation and accounting differs from accounting principles generally accepted in the United States of America.

A. Financial Reporting Entity

The County is a political subdivision of the state governed by an elected quorum court. The reporting entity includes all the funds of the County.

B. Basis of Presentation - Regulatory Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. Arkansas Code requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of: a balance sheet; a statement of revenues (receipts), expenditures (disbursements), and changes in fund equity (balances); a comparison of the final adopted budget to the actual expenditures for the general fund and road fund; notes to the financial statements; and a supplemental schedule of capital assets.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is the general operating fund and is used to account for all financial resources, except those required to be accounted for in another fund. The General Fund heading as it appears in the financial statements includes the following accounts: General, Various Fire Departments, Courthouse Annex and Local Emergency Planning.

Road Fund - The Road Fund is used to account for the proceeds of specific receipt sources that are legally restricted to disbursements for maintaining and constructing county roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for the proceeds of specific receipt sources that are legally restricted to disbursements for specific purposes. The following special revenue funds are reported with other funds in the aggregate: Office of Emergency Services, Clark County Marina, Indigent Investigator, Indigent Defense, Scroll Technology, Recorder's Cost, Support Collection Cost, Juvenile Probation, Boating Safety, Breathalyzer, District Court Cost, Victim Witness, 911, Sheriff's Drug Control, Disaster Recovery, Juvenile Work Supervision, Treasurer's Automation, Fire Communication, Mobile Emergency Operations, District Court Jail Fee, Local Law Enforcement Block Grant, Sanitation, Collector's Automation, County Clerk's Cost, District Court Automation, Rural Fire Library, Circuit Court Automation, Drug Enforcement, Antoine Hardwoods Grant, Assessor's Amendment No. 79, Alumacraft Grant, HITCO, H & P Sales Grant, Library, Sheriff's Communication Facility and Equipment and Law Enforcement Equipment.

Capital Projects Funds - Capital Projects Funds are used to account for financial resources to be used for the acquisition or construction of major capital facilities. The Capital Projects Fund, 2005 Jail Building Fund, is reported with other funds in the aggregate.

Debt Service Funds - Debt Service Funds are used to account for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. The Debt Service Fund, Jail Note Fund, is reported with other funds in the aggregate.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 1: Summary of Significant Accounting Policies (Continued)

B. Basis of Presentation - Regulatory Fund Accounting (Continued)

Other Funds in the Aggregate (Continued)

Agency Funds - Agency Funds are used to account for assets held by the entity as an agent for individuals, private organizations, other governmental units, and other funds. The following agency funds are reported with other funds in the aggregate: Funds held by the County Treasurer – General School, Law Library, Economic Development Tax, Harmony Grove School District, Hot Spring County School District, Timber Tax, Delight Public Schools, Okolona School District, Improvement Tax, Beirne Fire Department, Bail Bond, Ross Drainage District, Treasurer's Escrow, City of Amity, City of Gum Springs, Treasurer's Commission and Collector's Commission; Funds held by the County Tax Collector – Current Tax and Delinquent Personal; Funds held by the County Sheriff – Bond and Fine, Fee and Circuit Bond; Funds held by the County Clerk – Fee; Funds held by the Circuit Clerk – Fee and Trust; and Funds held by the Sanitation Department under the Office of County Judge – Sanitation.

C. Basis of Accounting

The financial statements are presented using a regulatory basis of accounting. This basis recognizes assets, liabilities, fund balance, receipts, and disbursements when they result from cash transactions with a provision for settlements pending. This regulatory basis differs from accounting principles generally accepted in the United States of America.

As a result of the use of this regulatory basis of accounting, certain assets (such as accounts receivable, interfund receivables, and capital assets) and their related receipts and certain liabilities (such as accounts payable, interfund payables, and long-term debt) and their related disbursements are not recorded in these financial statements.

D. Assets, Liabilities and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts and certificates of deposit.

Liabilities

For the purpose of financial reporting, liabilities include settlements pending. Settlements pending are considered fines, forfeitures, costs, officer's fees and delinquent taxes that have not been transferred to the appropriate entities.

Fund Balance

1. Reserved Fund Balance indicates that portion of fund balance, which has been legally segregated for specific purposes.
2. Designated Fund Balance indicates that portion of fund balance for which the entity has made tentative plans.
3. Undesignated Fund Balance indicates that portion of fund balance which is available for budgeting in future periods.

E. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 10.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 1: Summary of Significant Accounting Policies (Continued)

F. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the disbursements of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund and the other Special Revenue Funds.

NOTE 2: Cash

Deposit risks related to credit risk, concentration of credit risk, interest rate risk, and foreign currency risk have not been provided as required by Governmental Accounting Standards Board Statement No. 40.

NOTE 3: Legal or Contractual Provisions for Deposits and Investments

State law generally requires that county funds be deposited in federally insured banks located in the State of Arkansas. The County deposits may be in the form of checking accounts, savings accounts, and/or time deposits. Public funds may also be invested in direct obligations of the United States of America and obligations the principal and interest on which are fully guaranteed by the United States of America.

NOTE 4: Legal Debt Limit

A. Bonded Debt

The County is subject to a constitutional limitation for bonded indebtedness equal to ten percent (10%) of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2007, the legal debt limit for bonded debt was \$21,491,629. There were no property tax secured bond issues.

B. Short-Term Financing Obligations

The County is subject to a constitutional limitation for short-term financing obligations equal to two and one half percent (2.5%) of the assessed value of taxable property within the County as determined by the last tax assessment. At December 31, 2007, the legal debt limit for short-term financing obligations was \$5,979,922. The amount of short-term financing obligations was \$650,000, leaving a legal debt margin of \$5,329,922.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 5: Reserved Fund Balance

Reserved fund balance consists of the following:

		December 31, 2007
<u>General</u>		
Public Safety		\$ 1,989
<u>Road</u>		\$ 3,104,421
<u>Other Funds in the Aggregate</u>		
Special Revenue Funds:		
Office of Emergency Services	\$ 51,742	
Clark County Marina	21,280	
Indigent Investigator	44,969	
Indigent Defense	215,509	
Recorder's Cost	224,819	
Support Collection Cost	22,884	
Juvenile Probation	6,966	
Boating Safety	18,888	
Breathalyzer	18,023	
District Court Cost	10,139	
Victim Witness	23,027	
911	308,205	
Sheriff's Drug Control	8,616	
Disaster Recovery	4,398	
Juvenile Work Supervision	128,360	
Treasurer's Automation	22,234	
Fire Communication	1,139	
Mobile Emergency Operations	5,596	
District Court Jail Fee	41,507	
Local Law Enforcement Block Grant	23	
Sanitation	565,089	
Collector's Automation	132,027	
County Clerk's Cost	16,799	
District Court Automation	3,457	
Rural Fire Library	47,381	
Circuit Court Automation	19,290	
Drug Enforcement	5,212	
Assessor's Amendment #79	10,539	
Library	370,600	
Sheriff's Communication Facility and Equipment	151,581	
Law Enforcement Equipment	140	
Total Special Revenue	<u>2,500,439</u>	\$ 2,500,439
Capital Projects Fund:		
2005 Jail Building		1,111,803
Debt Service Fund:		
Jail Note		<u>224,842</u>
Total Other Funds in the Aggregate		<u>\$ 3,837,084</u>

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 6: Designated Fund Balances – General Fund

Designated fund balances consist of the following:

	December 31, 2007
Courthouse Annex	\$ 379,792
Local Emergency Planning	870
Total	<u>\$ 380,662</u>

NOTE 7: Commitments

Total commitments consist of the following at December 31, 2007:

	December 31, 2007
Long-Term Debt	<u>\$ 946,145</u>

Long-Term Debt

Long-Term Debt at December 31, 2007 is comprised of the following:

	December 31, 2007
<u>Note Payable</u>	
General Revenue Promissory Note (Jail Facilities Project) Series 2005: Installments are due on March 1 of each year beginning in 2006 and concluding in 2010, with payments ranging from \$205,000 - \$225,000, interest of 2.4% - 3% is payable on March and September 1 of each year beginning in September 2005. Payments are to be made from the Debt Service - Jail Note Fund.	\$ 650,000
<u>Landfill Closure and Postclosure Care Costs</u>	263,644
<u>Compensated Absences</u>	<u>32,501</u>
Total Long -Term Debt	<u>\$ 946,145</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 7: Commitments (Continued)

Debt Service Requirements to Maturity

The County is obligated for the following amounts:

<u>Years Ending December 31,</u>	<u>Note</u>
2008	\$ 225,765
2009	224,814
2010	228,375
Total Obligations	678,954
Less Interest	28,954
Total Principal	<u>\$ 650,000</u>

Landfill Closure and Postclosure Care Costs

Clark County is the owner of permit #044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and perform certain maintenance and monitoring functions at the site for two years after closure. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs are being recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The estimated commitment for the landfill closure and postclosure care costs has a balance of \$263,644 as of December 31, 2007, and represents the cumulative amount reported to date based on 87% usage of the landfill. The County will recognize the remaining estimated cost of closure and postclosure care of \$37,928 as the remaining estimated capacity is filled. At the present utilization rate, the landfill site life is estimated to exhaust in 14 months from the balance sheet date.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor and maintain the landfill were acquired as of December 31, 2007. However, the actual cost of closure and postclosure may be higher due to inflation, changes in technology or changes in landfill laws and regulations.

In accordance with Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$375,589 in the form of a Contract of Obligation dated May 23, 2007. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$375,589 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly disclose operation.

NOTE 8: Interfund Transfers

Transfers of \$37,247 were made from the General Fund to Other Funds in The Aggregate. Of this amount, \$36,534 was used for supplemental funding of the district court program and debt service bond payments and \$713 was a transfer of excess assessor's expense. Transfers of \$61,154 were made from Other Funds in The Aggregate to the General Fund for reimbursement of salary expenses.

NOTE 9: Subsequent Events

On January 3, 2008, the County entered into a contract with Mack-Reynolds Appraisal Company, Inc., for a countywide reappraisal. The contract total of \$596,975 will be paid in monthly increments of \$16,575 for 36 months.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 10: Joint Venture

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas, Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development to construct for resale or lease industrial facilities and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh, Ninth-East and Twenty-Second Judicial Districts, the Sheriff's Departments of Clark, Grant, Hot Spring and Saline Counties and the Police Departments of Benton, Malvern, Sheridan and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. Funding was provided through a Drug Law Enforcement Program grant applied for by the Prosecuting Attorney of the Twenty-Second Judicial District. The 2007 financial statements of the Group "6" Narcotics Enforcement have not been audited.

NOTE 11: Risk Management

The County is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

The County participates in the Association of Arkansas Counties Program (public entity risk pools) for coverage in the following area:

Workers' Compensation - This program provides statutory benefits for losses incurred by County officials, employees and volunteer fire fighters while performing work for the County. Rates for counties participating in this program are revised annually based on the cost experience of the particular county or group as determined by the Workers' Compensation Commission.

The County participates in the Arkansas Public Entities Risk Management Association (APERMA) public entity risk pool for coverage in the following areas:

Building and Contents Program - This program is a blanket policy with coverage up to \$100,000,000 for any one loss with a \$500 deductible. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county property.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2007

NOTE 11: Risk Management (Continued)

Vehicle Program

- A. Liability - This program may pay all sums the County legally must pay as damages because of bodily injury, death or property damage to which this agreement applies involving a covered county vehicle and for which the County is liable. The limit of payment for in-state claims is \$25,000 for bodily injury per person, \$50,000 for bodily injury per accident and \$25,000 for property damage per accident (\$100,000 respectively for out-of-state claims). The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county vehicles owned or leased by the County.
- B. Physical Damage - This program covers vehicles and mobile equipment which are the property of the participating county. Property is valued at the cost to repair or replace the property after deduction for depreciation. Loss amounts will be reduced by the deductible amount of \$1,000 for Sheriff's Department vehicles and \$500 for all other covered vehicles and mobile equipment. The County agrees to pay into the program each year a service charge established annually by the Risk Management Fund Board for covered property.

General Liability Program - The program shall provide legal defense in civil rights suits against the county government of a participating county and pay judgments imposed on County officials and employees and the county government and county-formed boards and commissions. Coverage is limited to \$250,000 per case with an annual aggregate of \$350,000. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for this coverage.

The County also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$250,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the County Aid Fund. There is a \$1,000 deductible per occurrence.

NOTE 12: Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for PERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, One Union National Plaza, 124 W. Capitol, Little Rock, Arkansas 72201 or by calling 1-800-682-7377.

Funding Policy

PERS has contributory and non-contributory plans. Contributory members are required by code to contribute 5% of their salary. Each participating employer is required by code to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation.

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2007

Schedule 1

	SPECIAL REVENUE FUNDS							
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	Recorder's Cost	Support Collection Cost	Juvenile Probation	Boating Safety
ASSETS								
Cash and cash equivalents	\$ 51,742	\$ 21,280	\$ 44,969	\$ 215,509	\$ 224,819	\$ 22,884	\$ 6,966	\$ 18,888
LIABILITIES AND FUND BALANCES								
Liabilities:								
Settlements pending								
Fund Balances:								
Reserved	\$ 51,742	\$ 21,280	\$ 44,969	\$ 215,509	\$ 224,819	\$ 22,884	\$ 6,966	\$ 18,888
TOTAL LIABILITIES AND FUND BALANCES	\$ 51,742	\$ 21,280	\$ 44,969	\$ 215,509	\$ 224,819	\$ 22,884	\$ 6,966	\$ 18,888

Office of Emergency Services
Clark County Marina

Indigent Investigator

Indigent Defense

Recorder's Cost

Support Collection Cost

Juvenile Probation

Boating Safety

Fund was established to receive Federal and State aid to be used for occurrence of a major emergency or disaster.
County Ordinance No. 12-2007 established fund to receive a percentage of boat slip leases to be used for continued development of the public use area owned by the County at DeGray Lake.

Fund was established to receive court costs to be used to defray a part of the expense of the administration of justice as addressed in Ark. Code Ann. § 16-10-307.

Ark. Code Ann. § 14-20-102 established the fund to receive funds distributed in accordance with Ark. Code Ann. § 16-10-307 to be used to pay reasonable and necessary cost incurred in the defense and representation of indigent persons.

Ark. Code Ann. § 21-6-306 established fund to receive fees collected by County/Circuit Clerks to be used for automated record systems and any other legitimate county purpose.

Ark. Code Ann. § 9-10-109 established fund to receive fees paid by noncustodial parent in child support cases to be used by Clerk's Office to offset administrative costs with a minimum of 20% of moneys collected annually used to purchase, maintain, and operate an automated data system.

Ark. Code Ann. § 16-13-326 established fund to receive juvenile fees of up to \$20 monthly assessed for services provided by the Circuit Court and to be used for court related expenses.

Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the County has not established a patrol.

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2007

Schedule 1

	SPECIAL REVENUE FUNDS								
	Breathalyzer	District Court Cost	Victim Witness	911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation	Fire Communication
ASSETS									
Cash and cash equivalents	\$ 18,023	\$ 10,139	\$ 23,027	\$ 308,205	\$ 8,616	\$ 4,398	\$ 128,360	\$ 22,234	\$ 1,139
LIABILITIES AND FUND BALANCES									
Liabilities:									
Settlements pending									
Fund Balances:									
Reserved	\$ 18,023	\$ 10,139	\$ 23,027	\$ 308,205	\$ 8,616	\$ 4,398	\$ 128,360	\$ 22,234	\$ 1,139
TOTAL LIABILITIES AND FUND BALANCES	\$ 18,023	\$ 10,139	\$ 23,027	\$ 308,205	\$ 8,616	\$ 4,398	\$ 128,360	\$ 22,234	\$ 1,139
Breathalyzer	County Ordinance No. 313 established fund to receive court costs to be used to defray a part of the expense of the Administration of Justice as addressed in Ark. Code Ann. § 16-10-307.								
District Court Cost	Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.								
Victim Witness	County Ordinance No. 92-10 established fund to receive court costs to be used to defray a part of the expense of the Administration of Justice as addressed in Ark. Code Ann. § 16-10-307.								
911	Ark. Code Ann. § 12-10-323 established fund to receive emergency system phone fees to be used only in the direct connection with 911 services.								
Sheriff's Drug Control	Ark. Code Ann. § 5-64-505 established fund to receive asset forfeitures resulting from drug offense cases due to arresting agency.								
Disaster Recovery	Fund was established to receive Federal and State aid to be used for response to and recovery from the occurrence of major emergencies or disasters.								
Juvenile Work Supervision	Fund was established to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.								
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's Office and to purchase, maintain, and operate an automated record keeping system.								
Fire Communication	County Ordinance No. 12-2007 established fund to receive miscellaneous grants to be used for purchase of safety and communications equipment and technology for rural fire departments.								

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2007

Schedule 1

	SPECIAL REVENUE FUNDS								
	Mobile Emergency Operations	District Court Jail Fee	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation	Rural Fire Library	Circuit Court Automation
ASSETS									
Cash and cash equivalents	\$ 5,596	\$ 41,507	\$ 23	\$ 565,089	\$ 132,027	\$ 16,799	\$ 3,457	\$ 47,381	\$ 19,290
LIABILITIES AND FUND BALANCES									
Liabilities:									
Settlements pending									
Fund Balances:									
Reserved	\$ 5,596	\$ 41,507	\$ 23	\$ 565,089	\$ 132,027	\$ 16,799	\$ 3,457	\$ 47,381	\$ 19,290
TOTAL LIABILITIES AND FUND BALANCES	\$ 5,596	\$ 41,507	\$ 23	\$ 565,089	\$ 132,027	\$ 16,799	\$ 3,457	\$ 47,381	\$ 19,290
Mobile Emergency Operations	County Ordinance No. 12-2007 established fund to receive Federal and State aid to be used for mobile communications center during emergency or disaster situations.								
District Court Jail Fee	Fund was established to collect a portion of court cost collected from each defendant who pleads or is found guilty or forfeits bond for any misdemeanor or traffic violation to be used to help defray the cost of incarcerating prisoners, including the maintenance of the county jail.								
Local Law Enforcement Block Grant	County Ordinance No. 12-2007 established fund to receive grant funds from the Local Law Enforcement Block Grant program to be used to purchase equipment for the Sheriff's office.								
Sanitation	County Ordinance No. 299 established fund for designated sales taxes to be used for the operations of the Sanitation Department.								
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's Office and to purchase, maintain, and operate an automated record keeping system.								
County Clerk's Cost	Ark. Code Ann. § 21-6-413 established fund to receive miscellaneous fees charged by the County Clerk and are general revenues of the County; at least 35% is to be used to purchase, maintain, and operate an automated record system. However, this portion may also, at the discretion of the Clerk, be transferred to County General.								
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.								
Rural Fire Library	County Ordinance No. 12-2007 established fund to receive miscellaneous grants for volunteer and rural fire departments to be used for a training facility to be used by Clark County Rural Fire Departments.								
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive 50% of all revenues collected from installment fees by the Circuit Court to be used for court related technology expenditures.								

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2007

Schedule 1

	SPECIAL REVENUE FUNDS					CAPITAL PROJECTS FUND	DEBT SERVICE FUND
	Assessor's Amendment # 79	Drug Enforcement	Sheriff's Communication Facility and Equipment	Law Enforcement Equipment	Library	2005 Jail Building	Jail Note
ASSETS							
Cash and cash equivalents	\$ 10,539	\$ 5,212	\$ 151,581	\$ 140	\$ 370,600	\$ 1,111,803	\$ 224,842
LIABILITIES AND FUND BALANCES							
Liabilities:							
Settlements pending							
Fund Balances:							
Reserved	\$ 10,539	\$ 5,212	\$ 151,581	\$ 140	\$ 370,600	\$ 1,111,803	\$ 224,842
TOTAL LIABILITIES AND FUND BALANCES	\$ 10,539	\$ 5,212	\$ 151,581	\$ 140	\$ 370,600	\$ 1,111,803	\$ 224,842
Assessor Amendment No. 79	Ark. Code Ann. § 26-26-310 established fund to receive state funds from the Property Tax Relief Trust Fund to be used by County Assessor for cost of administering Arkansas Constitution, Amendment No. 79.						
Drug Enforcement	County Ordinance No. 98-3 established fund as authorized by Ark. Code Ann. § 14-21-201 not to exceed \$10,000 to receive appropriated county funds to be used for direct expenses associated with the investigation of criminal drug laws.						
Sheriff's Communication Facility and Equipment	Ark. Code Ann. § 21-6-307 established fund to receive 25% of Sheriff's fees collected to be used for communications equipment and repair and to train operations staff.						
Law Enforcement Equipment	Fund established to receive proceeds from the sale of confiscated weapons pursuant to Ark. Code Ann. § 16-90-119 to be used for law enforcement.						
Library	Ark. Code Ann. § 13-2-404 established fund to receive property taxes, fees, fines, gift, etc., to be appropriated for the support, operation, and maintenance of county public library system.						
2005 Jail Building	County Ordinance 01-2005 established fund with revenues from the sale of General Revenue Promissory Notes to be used for the expansion of current jail facilities or construction of a new jail.						
Jail Note	County Ordinance 01-2005 established fund for property taxes collected for, but not limited to, the repayment of the General Revenue Promissory Note (Jail Facilities Project) Series 2005.						

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2007

Schedule 1

	AGENCY FUNDS						
	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge	Totals
ASSETS							
Cash and cash equivalents	\$ 709,406	\$ 59,565	\$ 36,802	\$ 1,969	\$ 194,094	\$ 34,038	\$ 4,872,958
LIABILITIES AND FUND BALANCES							
Liabilities:							
Settlements pending	\$ 709,406	\$ 59,565	\$ 36,802	\$ 1,969	\$ 194,094	\$ 34,038	\$ 1,035,874
Fund Balances:							
Reserved							3,837,084
TOTAL LIABILITIES AND FUND BALANCES	\$ 709,406	\$ 59,565	\$ 36,802	\$ 1,969	\$ 194,094	\$ 34,038	\$ 4,872,958

Treasurer's accounts consist primarily of property taxes, treasurer's commission and interest not distributed to the appropriate entities.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fines and fees not yet adjudicated and/or distributed to the County.

County/Circuit Clerks' accounts consist primarily of trust money awaiting disposition by the applicable court and fees not yet distributed to the County.

County Judge's account consist of the sanitation fees collected not yet remitted to the County Treasurer.

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	SPECIAL REVENUE FUNDS							
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	Scroll Technology	Recorder's Cost	Support Collection Cost	Juvenile Probation
RECEIPTS								
State aid					\$ 299,148			
Federal aid	\$ 22,839							
Property taxes								
Sales taxes								
Fines, forfeitures and costs			\$ 6,964	\$ 21,991				
Interest	2,008	\$ 969	1,863	10,186		\$ 10,982	\$ 885	\$ 309
Officers' fees						112,902	7,780	
911 Surcharges								
Sanitation fees								
Treasurer's commission								
Collector's commission								
Other	96,643	19,504	48	446		580	49	203
TOTAL RECEIPTS	121,490	20,473	8,875	32,623	299,148	124,464	8,714	512
Less: Treasurer's commission	40	407	176	604		2,478	173	10
NET RECEIPTS	121,450	20,066	8,699	32,019	299,148	121,986	8,541	502
DISBURSEMENTS								
Current:								
General government		28,270			299,148	73,735	94	
Law enforcement				50,101				
Public safety	80,029							
Sanitation								
Recreation and culture								
Total Current	80,029	28,270		50,101	299,148	73,735	94	
Debt Service:								
Note principal								
Note interest and other charges								
Principal reduction on financing agreement								
Interest on financing agreement								
TOTAL DISBURSEMENTS	80,029	28,270		50,101	299,148	73,735	94	
EXCESS OF RECEIPTS OVER (UNDER) DISBURSEMENTS	41,421	(8,204)	8,699	(18,082)	0	48,251	8,447	502

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	SPECIAL REVENUE FUNDS							
	Office of Emergency Services	Clark County Marina	Indigent Investigator	Indigent Defense	Scroll Technology	Recorder's Cost	Support Collection Cost	Juvenile Probation
OTHER FINANCING SOURCES (USES)								
Transfers in								
Transfers out						\$ (54,136)		
TOTAL OTHER FINANCING SOURCES (USES)						(54,136)		
EXCESS OF RECEIPTS AND OTHER SOURCES OVER (UNDER) DISBURSEMENTS AND OTHER USES	\$ 41,421	\$ (8,204)	\$ 8,699	\$ (18,082)		(5,885)	\$ 8,447	\$ 502
FUND BALANCES - JANUARY 1	10,321	29,484	36,270	233,591		230,704	14,437	6,464
FUND BALANCES - DECEMBER 31	\$ 51,742	\$ 21,280	\$ 44,969	\$ 215,509	\$ 0	\$ 224,819	\$ 22,884	\$ 6,966

Office of Emergency Services
Clark County Marina

Indigent Investigator

Indigent Defense

Scroll Technology

Recorder's Cost

Support Collection Cost

Juvenile Probation

Fund was established to receive Federal and State aid to be used for occurrence of a major emergency or disaster.
County Ordinance No. 12-2007 established fund to receive a percentage of boat slip leases to be used for continued development of the public use area owned by the County at DeGray Lake.
Fund was established to receive court costs to be used to defray a part of the expense of the Administration of Justice as addressed in Ark. Code Ann. § 16-10-307.
Ark. Code Ann. § 14-20-102 established the fund to receive funds distributed in accordance with Ark. Code Ann. § 16-10-307 to be used to pay reasonable and necessary cost incurred in the defense and representation of indigent persons.
County Ordinance No. 12-2007 established fund to receive Arkansas Department of Economic Development grant funds to be used for infrastructure improvements.
Ark. Code Ann. § 21-6-306 established fund to receive fees collected by County/Circuit Clerks to be used for automated record systems and any other legitimate county purpose.
Ark. Code Ann. § 9-10-109 established fund to receive fees paid by noncustodial parent in child support cases to be used by the Clerk's Office to offset administrative costs with a minimum of 20% of moneys collected annually used to purchase, maintain, and operate an automated data system.
Ark. Code Ann. § 16-13-326 established fund to receive juvenile fees of up to \$20 monthly assessed for services provided by the Circuit Court and to be used for court related expenses.

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	SPECIAL REVENUE FUNDS								
	Boating Safety	Breathalyzer	District Court Cost	Victim Witness	911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation
RECEIPTS									
State aid	\$ 2,501						\$ 4,955		
Federal aid									
Property taxes									
Sales taxes									
Fines, forfeitures and costs									
Interest	808	\$ 1,188	\$ 21,874	\$ 43,464					
Officers' fees		780	604	800	\$ 13,600	\$ 658	234	\$ 5,756	\$ 1,023
911 Surcharges					126,977				
Sanitation fees									
Treasurer's commission									16,243
Collector's commission									
Other	24	11	132	272	977	4	251	32	8
TOTAL RECEIPTS	3,333	1,979	22,610	44,536	141,554	662	5,440	5,788	17,274
Less: Treasurer's commission	66	39	450	827	2,812	13	5	115	20
NET RECEIPTS	3,267	1,940	22,160	43,709	138,742	649	5,435	5,673	17,254
DISBURSEMENTS									
Current:									
General government									26,665
Law enforcement		89	34,705	30,352		9,216		2,144	
Public safety	649				104,821		2,736		
Sanitation									
Recreation and culture									
Total Current	649	89	34,705	30,352	104,821	9,216	2,736	2,144	26,665
Debt Service:									
Note principal									
Note interest and other charges									
Principal reduction on financing agreement									
Interest on financing agreement									
TOTAL DISBURSEMENTS	649	89	34,705	30,352	104,821	9,216	2,736	2,144	26,665
EXCESS OF RECEIPTS OVER (UNDER) DISBURSEMENTS	2,618	1,851	(12,545)	13,357	33,921	(8,567)	2,699	3,529	(9,411)

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

SPECIAL REVENUE FUNDS									
	Boating Safety	Breathalyzer	District Court Cost	Victim Witness	911	Sheriff's Drug Control	Disaster Recovery	Juvenile Work Supervision	Treasurer's Automation
OTHER FINANCING SOURCES (USES)									
Transfers in			\$ 5,000						
Transfers out					\$ (7,018)				
TOTAL OTHER FINANCING SOURCES (USES)			5,000		(7,018)				
EXCESS OF RECEIPTS AND OTHER SOURCES OVER (UNDER) DISBURSEMENTS AND OTHER USES	\$ 2,618	\$ 1,851	(7,545)	\$ 13,357	26,903	\$ (8,567)	\$ 2,699	\$ 3,529	\$ (9,411)
FUND BALANCES - JANUARY 1	16,270	16,172	17,684	9,670	281,302	17,183	1,699	124,831	31,645
FUND BALANCES - DECEMBER 31	<u>\$ 18,888</u>	<u>\$ 18,023</u>	<u>\$ 10,139</u>	<u>\$ 23,027</u>	<u>\$ 308,205</u>	<u>\$ 8,616</u>	<u>\$ 4,398</u>	<u>\$ 128,360</u>	<u>\$ 22,234</u>

Boating Safety

Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.

Breathalyzer

County Ordinance No. 313 established fund to receive court costs to be used to defray a part of the expense of the Administration of Justice as addressed in Ark. Code Ann. § 16-10-307.

District Court Cost

Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.

Victim Witness

County Ordinance No. 92-10 established fund to receive court costs to be used to defray a part of the expense of the Administration of Justice as addressed in Ark. Code Ann. § 16-10-307.

911

Ark. Code Ann. § 12-10-323 established fund to receive emergency system phone fees to be used only in the direct connection with 911 services.

Sheriff's Drug Control

Ark. Code Ann. § 5-64-505 established fund to receive asset forfeitures resulting from drug offense cases due to arresting agency.

Disaster Recovery

Fund was established to receive Federal and State aid to be used for response to and recovery from the occurrence of major emergencies or disasters.

Juvenile Work Supervision

Fund was established to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.

Treasurer's Automation

Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated record keeping system.

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	SPECIAL REVENUE FUNDS								
	Fire Communication	Mobile Emergency Operations	District Court Jail Fee	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation	Rural Fire Library
RECEIPTS									
State aid					\$ 14,042				
Federal aid									
Property taxes					96,577				
Sales taxes					129,080				
Fines, forfeitures and costs			\$ 22,556						
Interest	\$ 51	\$ 251	1,592		24,166	\$ 5,631	\$ 590	\$ 218	\$ 2,114
Officers' fees							13,922	3,895	
911 Surcharges									
Sanitation fees					510,039				
Treasurer's commission									
Collector's commission						39,950			
Other		2	169		12,773	23	82	33	12,008
TOTAL RECEIPTS	51	253	24,317		786,677	45,604	14,594	4,146	14,122
Less: Treasurer's commission	1	5	483		15,366	112	290	82	42
NET RECEIPTS	50	248	23,834		771,311	45,492	14,304	4,064	14,080
DISBURSEMENTS									
Current:									
General government						10,740	12,456		
Law enforcement			6,818					29,317	
Public safety		70							
Sanitation					606,290				
Recreation and culture									
Total Current		70	6,818		606,290	10,740	12,456	29,317	
Debt Service:									
Note principal									
Note interest and other charges									
Principal reduction on financing agreement					77,028				
Interest on financing agreement					1,813				
TOTAL DISBURSEMENTS		70	6,818		685,131	10,740	12,456	29,317	
EXCESS OF RECEIPTS OVER (UNDER)									
DISBURSEMENTS	50	178	17,016		86,180	34,752	1,848	(25,253)	14,080

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	SPECIAL REVENUE FUNDS								
	Fire Communication	Mobile Emergency Operations	District Court Jail Fee	Local Law Enforcement Block Grant	Sanitation	Collector's Automation	County Clerk's Cost	District Court Automation	Rural Fire Library
OTHER FINANCING SOURCES (USES)									
Transfers in								\$ 20,000	
Transfers out									
TOTAL OTHER FINANCING SOURCES (USES)								20,000	
EXCESS OF RECEIPTS AND OTHER SOURCES OVER (UNDER) DISBURSEMENTS AND OTHER USES	\$ 50	\$ 178	\$ 17,016		\$ 86,180	\$ 34,752	\$ 1,848	(5,253)	\$ 14,080
FUND BALANCES - JANUARY 1	1,089	5,418	24,491	\$ 23	478,909	97,275	14,951	8,710	33,301
FUND BALANCES - DECEMBER 31	\$ 1,139	\$ 5,596	\$ 41,507	\$ 23	\$ 565,089	\$ 132,027	\$ 16,799	\$ 3,457	\$ 47,381

Fire Communication	County Ordinance No. 12-2007 established fund to receive miscellaneous grants to be used for purchase of safety and communications equipment and technology for rural fire departments.
Mobile Emergency Operations	County Ordinance No. 12-2007 established fund to receive Federal and State aid to be used for mobile communications center during emergency or disaster situations.
District Court Jail Fee	Fund was established to receive a portion of court costs collected from each defendant who pleads or is found guilty or forfeits bond for any misdemeanor or traffic violation to be used to help defray the cost of incarcerating prisoners, including the maintenance of the county jail.
Local Law Enforcement Block Grant	County Ordinance No. 12-2007 established fund to receive grant funds from the Local Law Enforcement Block Grant program to be used to purchase equipment for the Sheriff's office.
Sanitation	County Ordinance No. 299 established fund for designated sales taxes to be used for the operations of the Sanitation Department.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
County Clerk's Cost	Ark. Code Ann. § 21-6-413 established fund to receive miscellaneous fees charged by the County Clerk and are general revenues of the County; at least 35% is to be used to purchase, maintain, and operate an automated record system. However, this portion may also, at the discretion of the Clerk, be transferred to the County General.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees of 1/2 of \$5 per month on each person to be used for court related technology.
Rural Fire Library	County Ordinance No. 12-2007 established fund to receive miscellaneous grants for volunteer and rural fire departments to be used for a training facility to be used by Clark County Rural Fire Departments.

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	SPECIAL REVENUE FUNDS									
	Circuit Court Automation	Antoine Hardwoods Grant	Assessor's Amendment # 79	Alumacraft Grant	Drug Enforcement	HITCO	H & P Sales Grant	Sheriff's Communication Facility and Equipment	Law Enforcement Equipment	Library
RECEIPTS										
State aid			\$ 6,003							\$ 38,556
Federal aid		\$ 127,284		\$ 6,790		\$ 4,770	\$ 8,759			
Property taxes										198,259
Sales taxes										
Fines, forfeitures and costs										
Interest	\$ 958		306		\$ 14			\$ 1,636		14,613
Officers' fees	3,864							9,761		
911 Surcharges										
Sanitation fees										
Treasurer's commission										
Collector's commission										
Other	32		1					9,641		15,661
TOTAL RECEIPTS	4,854	127,284	6,310	6,790	14	4,770	8,759	21,038		267,089
Less: Treasurer's commission	96		126							4,829
NET RECEIPTS	4,758	127,284	6,184	6,790	14	4,770	8,759	21,038		262,260
DISBURSEMENTS										
Current:										
General government	5,472	127,284	713	6,790		4,770	8,759			
Law enforcement					1,305			57,538	\$ 4,000	
Public safety										
Sanitation										
Recreation and culture										258,768
Total Current	5,472	127,284	713	6,790	1,305	4,770	8,759	57,538	4,000	258,768
Debt Service:										
Note principal										
Note interest and other charges										
Principal reduction on financing agreement										
Interest on financing agreement										
TOTAL DISBURSEMENTS	5,472	127,284	713	6,790	1,305	4,770	8,759	57,538	4,000	258,768
EXCESS OF RECEIPTS OVER (UNDER) DISBURSEMENTS	(714)	0	5,471	0	(1,291)	0	0	(36,500)	(4,000)	3,492

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	SPECIAL REVENUE FUNDS									
	Circuit Court Automation	Antoine Hardwoods Grant	Assessor's Amendment # 79	Alumacraft Grant	Drug Enforcement	HITCO	H & P Sales Grant	Sheriff's Communication Facility and Equipment	Law Enforcement Equipment	Library
OTHER FINANCING SOURCES (USES)										
Transfers in			\$ 713							
Transfers out										
TOTAL OTHER FINANCING SOURCES (USES)			713							
EXCESS OF RECEIPTS AND OTHER SOURCES OVER (UNDER) DISBURSEMENTS AND OTHER USES	\$ (714)		6,184		\$ (1,291)			\$ (36,500)	\$ (4,000)	\$ 3,492
FUND BALANCES - JANUARY 1	20,004		4,355		6,503			188,081	4,140	367,108
FUND BALANCES - DECEMBER 31	<u>\$ 19,290</u>	<u>\$ 0</u>	<u>\$ 10,539</u>	<u>\$ 0</u>	<u>\$ 5,212</u>	<u>\$ 0</u>	<u>\$ 0</u>	<u>\$ 151,581</u>	<u>\$ 140</u>	<u>\$ 370,600</u>

Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive 50% of all revenues collected from installment fees by the Circuit Court to be used for court related technology expenditures.
Antoine Hardwoods Grant	County Ordinance No. 12-2007 established fund to receive an ADEM reimbursable grant to be used for infrastructure to benefit Antoine Hardwoods at their plant located at Whelen Springs.
Assessor's Amendment # 79	Ark. Code Ann. § 26-26-310 established fund to receive state funds from the Property Tax Relief Trust Fund to be used by County Assessor for cost of administering Arkansas Constitution, Amendment No. 79.
Alumacraft Grant	County Ordinance No. 53-2007 established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for improvements to Alumacraft facilities.
Drug Enforcement	County Ordinance No. 98-3 established fund as authorized by Ark. Code Ann. § 14-21-201 not to exceed \$10,000 to receive appropriated county funds to be used for direct expenses associated with the investigation of criminal drug laws.
HITCO	County Ordinance No. 53-2007 established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used for purchase of equipment for the facility located in Clark County.
H & P Sales Grant	County Ordinance No. 53-2007 established fund to receive grant funds from the Arkansas Community and Economic Development Program to be used to construct a facility for H & P Sales in Clark County.
Sheriff's Communication Facility and Equipment	Ark. Code Ann. § 21-6-307 established fund to receive 25% of Sheriff's fees collected to be used for communications equipment and repair and to train operations staff.
Law Enforcement Equipment	Fund established to receive proceeds from the sale of confiscated weapons pursuant to Ark. Code Ann. § 16-90-119 to be used for law enforcement.
Library	Ark. Code Ann. § 13-2-404 established fund to receive property taxes, fees, fines, gift, etc., to be appropriated for the support, operation, and maintenance of county public library system.

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	CAPITAL PROJECTS FUND 2005 Jail Building	DEBT SERVICE FUND Jail Note	Totals
RECEIPTS			
State aid			\$ 365,205
Federal aid			170,442
Property taxes		\$ 227,442	522,278
Sales taxes			129,080
Fines, forfeitures and costs			118,037
Interest	\$ 48,793	2,803	155,201
Officers' fees			152,124
911 Surcharges			126,977
Sanitation fees			510,039
Treasurer's commission			16,243
Collector's commission			39,950
Other		5,073	174,682
TOTAL RECEIPTS	48,793	235,318	2,480,258
Less: Treasurer's commission			29,667
NET RECEIPTS	48,793	235,318	2,450,591
DISBURSEMENTS			
Current:			
General government			604,896
Law enforcement			225,585
Public safety			188,305
Sanitation			606,290
Recreation and culture			258,768
Total Current			1,883,844
Debt Service:			
Note principal		205,000	205,000
Note interest and other charges		21,318	21,318
Principal reduction on financing agreement			77,028
Interest on financing agreement			1,813
TOTAL DISBURSEMENTS		226,318	2,189,003
EXCESS OF RECEIPTS OVER (UNDER) DISBURSEMENTS	48,793	9,000	261,588

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2007

Schedule 2

	<u>CAPITAL PROJECTS FUND 2005 Jail Building</u>	<u>DEBT SERVICE FUND Jail Note</u>	<u>Totals</u>
OTHER FINANCING SOURCES (USES)			
Transfers in		\$ 11,534	\$ 37,247
Transfers out			(61,154)
		<u>11,534</u>	<u>(23,907)</u>
TOTAL OTHER FINANCING SOURCES (USES)			
		<u>11,534</u>	<u>(23,907)</u>
EXCESS OF RECEIPTS AND OTHER SOURCES OVER (UNDER) DISBURSEMENTS AND OTHER USES	\$ 48,793	20,534	237,681
FUND BALANCES - JANUARY 1	<u>1,063,010</u>	<u>204,308</u>	<u>3,599,403</u>
FUND BALANCES - DECEMBER 31	<u>\$ 1,111,803</u>	<u>\$ 224,842</u>	<u>\$ 3,837,084</u>

2005 Jail Building

County Ordinance No. 01-2005 established fund with revenues from the sale of General Revenue Promissory Notes to be used for the expansion of current jail facilities or construction of a new jail.

Jail Note

County Ordinance No. 01-2005 established fund for property taxes collected for, but not limited to, to the repayment of the General Revenue Promissory Note (Jail Facilities Project) Series 2005.

CLARK COUNTY, ARKANSAS
SUPPLEMENTARY INFORMATION
SCHEDULE OF CAPITAL ASSETS
DECEMBER 31, 2007
(Unaudited)

Schedule 3

	December 31, 2007
Land	\$ 387,048
Buildings	6,539,288
Equipment	<u>6,356,278</u>
Total	<u>\$ 13,282,614</u>